

## **RWE ESG Assessment**

### **Executive Summary**

RWE is one of Europe's largest energy companies and a central actor in the continent's energy transition. The Group's ESG profile is heavily influenced by its ongoing transition from conventional fossil-fuel generation toward renewable energy production, making climate change, decarbonization, and transition governance the most material sustainability issues facing the company.

The available evidence indicates substantial progress across several environmental indicators. Since 2012, RWE has reduced power-generation emissions by approximately 71%, expanded renewable energy capacity more than sixfold, increased renewable electricity generation to 50,531 GWh in 2025, and committed to achieving net-zero emissions across all scopes by 2040. These commitments are supported by large-scale investments in offshore wind, onshore wind, solar, batteries, hydrogen, and carbon capture technologies.

From a governance perspective, RWE demonstrates a mature framework characterized by a two-tier governance structure, board-level sustainability oversight, ESG-linked executive compensation, green financing integration, and comprehensive compliance systems. Sustainability considerations are embedded into both strategic decision-making and financing activities through green bonds and taxonomy-linked financial instruments.

Socially, the company maintains strong commitments to human rights, workforce development, diversity, health and safety, and responsible sourcing. The company's membership in the United Nations Global Compact, implementation of human rights due diligence procedures, and participation in sector initiatives such as RECOSI and Bettercoal illustrate an effort to manage social risks throughout its operations and supply chains.

Nevertheless, the company continues to face significant challenges and controversies. Coal and lignite generation remain part of its electricity mix, climate-related litigation has attracted substantial public attention, and the company's lawsuit against the Dutch government regarding coal phaseout legislation has generated criticism from environmental stakeholders. In addition, disclosure gaps remain in areas such as compliance metrics, whistleblower statistics, workforce diversity data, and detailed environmental performance indicators.

Overall, the company demonstrates meaningful progress toward its sustainability objectives and exhibits many characteristics associated with mature ESG management. However, the transition remains ongoing, and continued dependence on fossil-fuel

generation creates tensions between current operations and long-term sustainability ambitions.

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## **Company Overview**

RWE is a leading European energy company operating across conventional and renewable power generation, energy trading, offshore wind, onshore wind, solar development, battery storage, and emerging energy technologies. The company's strategic transformation over the last decade has repositioned it from a largely conventional power producer toward a renewable-focused utility seeking to align its operations with European decarbonization objectives.

At the end of 2025, the company employed 20,120 full-time equivalents globally. The workforce is distributed across core business functions, renewable energy operations, offshore wind activities, and legacy phaseout technologies associated with conventional generation assets.

The ESG profile of RWE differs significantly from companies operating in sectors such as luxury goods or consumer products. Environmental issues dominate the sustainability agenda due to the company's direct involvement in electricity generation and associated greenhouse gas emissions. Consequently, climate change, decarbonization, renewable energy investments, coal phaseout, biodiversity management, and climate-related litigation represent the most material ESG topics affecting the company.

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## **Environmental Assessment**

### **Climate Change and Greenhouse Gas Emissions**

Climate change represents the single most material environmental issue facing RWE. As a major energy producer, the company operates within an industry that is directly responsible for significant greenhouse gas emissions and is therefore exposed to regulatory, investor, litigation, and transition risks associated with decarbonization.

RWE reports that annual emissions have declined by approximately 71% since 2012. Emissions from power generation decreased further from 52.6 million metric tons of CO<sub>2</sub> equivalent to 50.8 million metric tons in 2025. The company attributes this reduction largely to coal-plant closures, expansion of renewable generation capacity, and broader decarbonization initiatives.

The company's long-term climate ambition is particularly notable. RWE has committed to achieving net-zero emissions across all scopes by 2040 and has established climate

targets that are aligned with a 1.5°C pathway and approved by the Science Based Targets initiative (SBTi).

Unlike many organizations that separate sustainability strategy from financial decision-making, RWE has integrated climate performance directly into financing mechanisms and corporate planning. Sustainability-linked financing structures, green bonds, and EU taxonomy-linked financial instruments create direct links between environmental performance and capital allocation decisions.

From an analytical perspective, the company's climate strategy appears credible because decarbonization commitments are supported by observable investments, declining emissions, renewable capacity growth, and measurable progress over time.

Nevertheless, the continued contribution of coal and lignite generation remains significant. Approximately 27% of electricity generation in 2025 continued to originate from coal, indicating that although the transition is progressing, the company remains partially dependent on fossil-fuel assets.

The environmental narrative is therefore not one of completed transformation but rather of an ongoing transition in which meaningful progress coexists with continuing exposure to carbon-intensive operations.

## **Energy Management**

Energy management is central to RWE's transition strategy because the company's environmental performance depends directly on how electricity is generated and how generation assets evolve over time.

The company's renewable electricity generation reached 50,531 GWh in 2025, compared with 48,796 GWh in 2024. Renewable and flexible generation capacity reached 40.4 GW on a pro-rata basis by year-end.

This expansion reflects large-scale investments across offshore wind, onshore wind, utility-scale solar, battery storage systems, hydrogen technologies, and carbon capture projects. The company also reports that approximately 95% of planned green investments are aligned with the EU Taxonomy framework.

A particular strength of the strategy is the integration of sustainable finance with renewable deployment. Green bonds have become a preferred financing mechanism, and sustainability performance indicators have been embedded within credit facilities and financing agreements.

The growth trajectory of renewable generation provides strong evidence that the company's energy transition strategy is being implemented in practice rather than remaining a purely aspirational objective. However, the transition remains incomplete due to the continued presence of coal and gas generation within the overall portfolio.

## **Water Resources**

Water stewardship receives comparatively limited disclosure within the available materials.

Although no quantitative water consumption figures, withdrawal volumes, or water reduction targets are disclosed, environmental risk management systems identify water-related incidents as relevant environmental concerns. Examples include oil spills affecting water systems and exceedances of permitted temperature thresholds.

The absence of detailed performance indicators limits a comprehensive assessment of water stewardship performance. While environmental monitoring systems appear established, stakeholders are unable to evaluate trends in water consumption, efficiency, or water-related environmental impacts based on the available materials.

## **Waste and Pollution**

RWE maintains environmental management systems focused on pollution prevention, legal compliance, environmental monitoring, and incident management.

The company conducts quarterly monitoring of environmental incidents and maintains reporting systems capable of identifying pollution events, improper waste disposal incidents, emissions exceedances, and contamination risks.

A positive indicator is the disclosure of zero serious environmental incidents. This suggests that environmental management systems are functioning effectively with respect to severe operational events.

However, the available information provides little quantitative detail regarding waste generation, hazardous waste volumes, recycling activities, air pollutant releases, remediation costs, or pollution-prevention outcomes. Although governance structures surrounding waste and pollution appear robust, the absence of supporting metrics restricts external assessment of environmental performance in this area.

## **Biodiversity and Nature**

Biodiversity increasingly forms part of RWE's environmental strategy as the company expands renewable infrastructure and rehabilitates former mining areas.

The company has established a target of achieving a positive net impact on biodiversity for all new facilities by 2030. Biodiversity initiatives include ecosystem monitoring programs such as SeaMe, which employs low-emission, non-invasive monitoring technologies in offshore environments.

Biodiversity restoration is also linked to lignite recultivation projects, where the company reports achieving species diversity comparable to high-value reference habitats.

While these initiatives indicate growing integration of biodiversity considerations into project development and land restoration activities, disclosures remain largely qualitative. More detailed biodiversity indicators, measurable restoration outcomes, and ecosystem impact metrics would strengthen confidence in the effectiveness of these activities.

### **Sustainable Sourcing and Supply Chain Management**

Sustainable sourcing receives less attention than climate-related issues but nevertheless forms part of the company's environmental management framework.

RWE requires suppliers and contractors to comply with environmental expectations established through its Code of Conduct and associated contractual requirements. The company reports alignment with ISO 14001 environmental management principles and references certification systems such as ISCC for biomethane activities.

The company also emphasizes diversified sourcing strategies, particularly in relation to gas procurement.

Although supplier expectations are clearly articulated, disclosure regarding supplier audits, environmental performance assessments, corrective action procedures, and supplier compliance outcomes remains limited.

### **Environmental Strengths**

RWE's environmental performance is most convincingly demonstrated through its long-term decarbonization progress and its commitment to transforming its business model around renewable energy. The company reports that emissions have fallen by approximately 71% since 2012, a reduction largely attributed to the gradual closure of coal-fired generation assets and the rapid expansion of renewable electricity production. This trend suggests that climate targets are supported by operational changes rather than relying solely on future commitments.

A major strength of RWE's environmental strategy is the integration of sustainability into capital allocation and financing mechanisms. The company has embedded sustainability considerations into financing through green bonds and EU Taxonomy-linked instruments, creating a direct relationship between environmental performance and access to capital. The use of green bonds across multiple markets and maturities demonstrates that sustainability commitments are not confined to ESG disclosures but are incorporated into the broader financial structure of the business.

Renewable energy development represents another significant area of progress. Renewable electricity generation reached 50,531 GWh in 2025 and total renewable and flexible generation capacity expanded to 40.4 GW. Compared with RWE's historic dependence on coal generation, this transformation represents a substantial shift in

strategic direction and provides evidence that the company's transition ambitions are supported by measurable infrastructure investments.

The company also demonstrates a growing focus on biodiversity and environmental innovation. Biodiversity initiatives such as the SeaMe monitoring programme and restoration efforts associated with former lignite mining sites indicate increasing recognition that environmental performance extends beyond carbon emissions. Similarly, investments in recyclable wind turbine blade technology, carbon capture initiatives, hydrogen development, and ecosystem monitoring systems suggest that environmental innovation is becoming embedded within future business development.

Overall, RWE's environmental strengths derive from its ability to demonstrate a measurable transition away from fossil-fuel dependence while simultaneously integrating sustainability objectives into investment decisions, financing structures, and long-term strategic planning.

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## **Environmental Risks and Controversies**

Despite substantial progress, RWE continues to face significant environmental risks and controversies that influence the overall assessment of its environmental performance.

The most prominent controversy concerns climate-related litigation. One of the most internationally recognized climate cases involved Peruvian farmer Saúl Luciano Lliuya, who argued that RWE should contribute to flood-protection measures due to its historical contribution to global greenhouse gas emissions. Although the case ultimately did not result in financial liability for the company, it became a landmark example of the legal risks increasingly faced by major emitters. The litigation highlighted growing expectations that corporations may be held accountable for climate-related impacts beyond their direct operational boundaries.

A second controversy emerged through RWE's legal challenge against the Dutch government's coal phaseout legislation. The company sought approximately €1.4 billion in compensation relating to policy measures requiring earlier coal closures. From a governance and environmental perspective, this created tension between the company's public sustainability narrative and its legal actions. Environmental organizations argued that opposing coal phaseout policies appeared inconsistent with RWE's stated climate ambitions and commitment to supporting the energy transition.

RWE's response to these controversies has generally emphasized regulatory compliance, legal certainty, and the need for predictable policy frameworks during the energy transition. The company argues that its transformation strategy is supported by substantial renewable investment, declining emissions, and long-term net-zero

objectives. This response is credible to the extent that tangible progress in renewable expansion and emissions reductions can be observed.

However, the continued role of coal and lignite generation within the company's portfolio complicates the environmental narrative. While emissions have fallen significantly, approximately 27% of electricity generation in 2025 still originated from coal. Consequently, stakeholders may continue to question whether transition efforts are occurring rapidly enough to align fully with climate expectations and policy objectives.

The company's environmental credibility therefore remains transitional rather than fully established. Significant improvements have occurred, but these coexist with ongoing fossil-fuel exposure and lingering controversy regarding climate accountability.

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## **Environmental Data Gaps**

Although RWE discloses meaningful information regarding emissions reductions, renewable energy growth, transition financing, and climate commitments, important environmental data gaps remain.

The available materials refer to environmental incident monitoring but do not disclose detailed statistics regarding spill volumes, incident frequency, remediation costs, or the nature of less severe environmental events. These limitations reduce transparency and restrict external evaluation of environmental management effectiveness.

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## **Social Assessment**

### **Workforce Profile and Employment Practices**

RWE's social profile is strongly influenced by its position as a major European utility undergoing substantial business transformation. As of 31 December 2025, the company employed 20,120 full-time equivalents, representing a decrease of approximately 4% compared with the previous year. The reduction was primarily associated with early retirement programmes within Phaseout Technologies and a scaling back of offshore wind activities in the United States.

The workforce remains highly diversified across business segments, including renewable operations, conventional generation assets, trading activities, and transition-related functions. This distribution reflects the dual reality facing the company: managing legacy energy assets while simultaneously expanding renewable energy operations.

A positive workforce indicator is the continued expansion of apprenticeship programmes. By the end of 2025, 738 young adults were participating in apprenticeships, compared to 707 in the previous year. This increase demonstrates continued investment in workforce development despite broader restructuring and transition activities.

RWE also emphasizes compliance with national labour regulations, including working-hours requirements, minimum wage standards, and paid leave entitlements. Family-friendly employment policies further support employee wellbeing and work-life balance.

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### **Training, Development and Employee Wellbeing**

Workforce development forms a central component of RWE's social strategy. The company promotes lifelong learning and professional development through training programmes tailored to operational requirements and regulatory expectations.

Particularly noteworthy is the introduction of a dedicated Human Rights training programme in 2025. This training became mandatory for relevant employees and was designed to strengthen awareness of human rights risks and compliance obligations throughout the organization.

Beyond formal training, RWE supports long-term employability through ongoing professional development initiatives and proactive health management programmes. These efforts are particularly important given the significant workforce transformation occurring as the company transitions away from conventional generation and expands renewable energy operations.

The company's approach suggests that workforce development is viewed not only as a social responsibility issue but also as a strategic requirement necessary to support long-term transformation objectives.

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### **Health and Safety**

Health and safety remain fundamental priorities within RWE's operations due to the inherent risks associated with electricity generation, industrial facilities, and energy infrastructure.

The company states that its long-term objective is "zero accidents" and emphasizes continuous improvement of health and safety performance throughout its operations. RWE also highlights a guiding principle that every employee should return home as healthy as they arrived at work.

Health and safety expectations extend beyond direct employees to include contractors and business partners. This broader approach reflects the complexity of utility operations and the need to maintain consistent standards across operational activities.

While the commitment appears strong, the absence of detailed accident rates, injury frequencies, lost-time incident rates, and occupational health metrics prevents a more comprehensive assessment of actual performance outcomes.

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## **Diversity, Equity and Inclusion**

RWE explicitly links its corporate culture to principles of diversity, inclusion, and mutual respect. Through its support of the Charter of Diversity, the company has publicly committed to fostering a working environment free from discrimination and prejudice.

The company positions diversity and inclusion as important cultural principles and emphasizes equal opportunity within employment practices. Anti-discrimination commitments extend throughout the organization and are reinforced through broader human rights and ethical conduct frameworks.

However, limited disclosure regarding workforce diversity, leadership representation, gender equality outcomes, and workforce demographics restricts the ability to evaluate practical progress. While the underlying commitments appear well established, more detailed data would strengthen external confidence in implementation outcomes.

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## **Human Rights**

Human rights governance appears relatively mature and aligns closely with international standards. RWE has been a participant in the United Nations Global Compact since 2004 and has committed to respecting internationally recognized labour and human rights principles.

The company's Code of Conduct establishes expectations relating to the prohibition of forced labour, child labour, human trafficking, and other forms of exploitation. These requirements apply to both employees and business partners.

Human rights management is complemented by ongoing compliance training, supplier due diligence processes, and plans to incorporate artificial intelligence into risk management systems beginning in 2026. The planned use of AI for supplier screening and risk identification indicates a proactive approach to improving oversight capabilities across increasingly complex supply chains.

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## **Supply Chain Management and Labour Standards**

The company adopts a risk-based approach to supply-chain governance and labour-rights management. Suppliers are required to comply with relevant legislation, including the Modern Slavery Act 2015, and are subject to due diligence procedures prior to engagement.

RWE participates in sector-specific initiatives, including RECOI and Bettercoal, which are intended to strengthen responsible sourcing practices and reduce labour-rights risks within commodity supply chains.

Additional controls include supplier self-assessment questionnaires, independent site audits, and enhanced due diligence procedures. These measures influence procurement decisions and support risk monitoring throughout the supplier network.

The existence of structured supplier oversight mechanisms is a positive feature of the company's social framework. Nevertheless, limited disclosure regarding supplier audit results, corrective actions, and remediation outcomes limits the ability to evaluate practical effectiveness.

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## **Community Engagement and Social Impact**

Community engagement remains an important element of RWE's broader social contribution. Through the RWE Foundation, the company supports initiatives focused on socially disadvantaged children and young people across Europe.

The Foundation manages assets of approximately €125 million and distributes roughly €3.5 million annually across 35 active projects. These initiatives aim to strengthen social participation, educational opportunities, and intercultural understanding.

Although community investment is not among the company's most material ESG issues, these programmes contribute positively to stakeholder relationships and demonstrate engagement beyond core operational responsibilities.

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## **Social Risks and Controversies**

The company acknowledges that modern slavery risks vary across different supply chains, particularly in areas involving combustion-fuel procurement and commodity trading. These risks are addressed through due diligence processes, supplier requirements, training programmes, and monitoring systems.

The absence of major controversies should not be interpreted as an absence of risk. Instead, the relatively limited disclosure of quantitative social indicators creates uncertainty regarding workforce outcomes, diversity performance, employee engagement, and health-and-safety effectiveness.

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## **Governance Assessment**

From a governance perspective, RWE demonstrates one of the strongest frameworks observed among the assessed companies. The governance structure reflects established German corporate governance principles and incorporates clear separation between management responsibilities and supervisory oversight.

The company operates through a two-tier governance system consisting of an Executive Board and a Supervisory Board, supported by six dedicated committees. Specialist committees such as the Audit Committee, Strategy and Sustainability Committee, Personnel Affairs Committee, and Mediation Committee provide focused oversight of key governance areas.

A significant governance strength is the formal integration of sustainability into board-level structures. ESG oversight responsibilities are institutionalized within the Strategy and Sustainability Committee, while sustainability also falls directly within the responsibilities of the CEO's organization. This structure increases the likelihood that ESG considerations influence strategic and operational decision-making rather than being managed separately from core business functions.

Executive remuneration further reinforces ESG integration. Sustainability objectives are incorporated into both short-term and long-term incentive structures, while governance safeguards such as clawback provisions, share ownership requirements, and remuneration caps strengthen accountability mechanisms. Shareholder approval of executive remuneration exceeded 93% during the 2025 Annual General Meeting, indicating broad investor support.

The company's compliance architecture is comprehensive. Anti-corruption commitments, anti-money laundering controls, sanctions compliance measures, conflict-of-interest requirements, internal audit functions, and whistleblower channels collectively create a robust governance environment. RWE's explicit prohibition of corruption, combined with annual reporting obligations and dedicated compliance officers, supports an organizational culture centered on integrity and regulatory compliance.

Shareholder rights and transparency mechanisms also appear strong. Investors are granted extensive participation rights during annual meetings, and disclosure processes are supported by formal investor-relations structures designed to promote transparent communication.

Despite these strengths, several governance limitations remain. Detailed director-independence disclosures are incomplete, governance effectiveness reviews are not publicly available, and quantitative compliance indicators are largely absent. The

company discloses extensive governance structures but provides little direct evidence regarding outcomes such as investigations, misconduct cases, disciplinary actions, or whistleblower activity.

Consequently, governance credibility rests heavily on the strength of institutional design rather than the disclosure of observable governance-performance results.

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## Overall ESG Assessment

RWE demonstrates a comparatively mature ESG framework characterized by strong governance structures, significant environmental transition efforts, and comprehensive human rights commitments. The company's sustainability narrative is supported by measurable evidence, including substantial emissions reductions, rapid renewable energy expansion, growing alignment with sustainable finance frameworks, and active incorporation of ESG considerations into governance and remuneration systems.

The strongest aspect of ESG performance is the environmental transition strategy. Renewable capacity growth, declining emissions, net-zero commitments, and climate-aligned financing provide tangible evidence that sustainability ambitions are being translated into operational decisions and capital investments.

The governance framework represents another significant strength. ESG oversight exists at both board and management levels, executive compensation incorporates sustainability indicators, and compliance systems appear well developed relative to international best practice.

The social pillar is generally supported by strong policies and international commitments but is constrained by limited quantitative disclosure. Human rights governance and supplier due diligence appear credible, although additional information regarding workforce outcomes would improve transparency.

At the same time, the company remains exposed to significant transition risks. Coal and lignite generation continue to contribute materially to electricity production, climate litigation remains a source of reputational and legal uncertainty, and several disclosure gaps limit external assessment of actual ESG performance outcomes.

Taking all available evidence into account, RWE demonstrates **good overall ESG performance with strong governance and significant environmental transition progress**. However, the company remains firmly in transition rather than having completed it, and future credibility will depend on continued decarbonization, enhanced transparency, and successful management of fossil-fuel phaseout challenges.